IMPACT OF GLOBALIZATION IN CHILE

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In recent years, Chile has undergone significant changes in its trade and foreign direct investment (FDI) policies, which have shaped its economic landscape. This research project aims to analyze the impact of globalization on Chile from 2015 to 2023, focusing on trade policy changes, FDI policy changes, government stability, trade patterns, economic growth, recent political and global events that influenced Chile's economic stability for better or for worse. Based on prior lectures, we know Chile's productivity and economic status is more efficient and well established compared to their neighboring countries. We believe Chile is one of the best if not the best performing Latin American country politically and economically.

There are various trading policies that happened over time for Chile. An impactful event that began in 1948 was when Chile joined the General Agreement on Tariffs and Trade (GATT). GATT was founded in 1947, their overall goal was to push the world towards a reality where goods and services are exchanged without tariffs. A second influential event worth mentioning was when Chile joined the Cairns Group in 1990. The Cains Group was founded in 1986 and was a part of GATT. The group's goal was to liberalize global trade and improve market access for agricultural products by eliminating export subsidies. Chile then joined the World Trade Organization also known as WTO in 1995, GATT being its predecessor. The goal of the WTO was not just to focus on tariffs like GATT, but to ensure trade flows as smoothly and predictably as possible and to help its members use trade as a means to raise people's living standards. In 1996, Chile joined Mercosur as an associate member, receiving tariff reductions when trading with member countries, like Argentina, Paraguay, Brazil, and

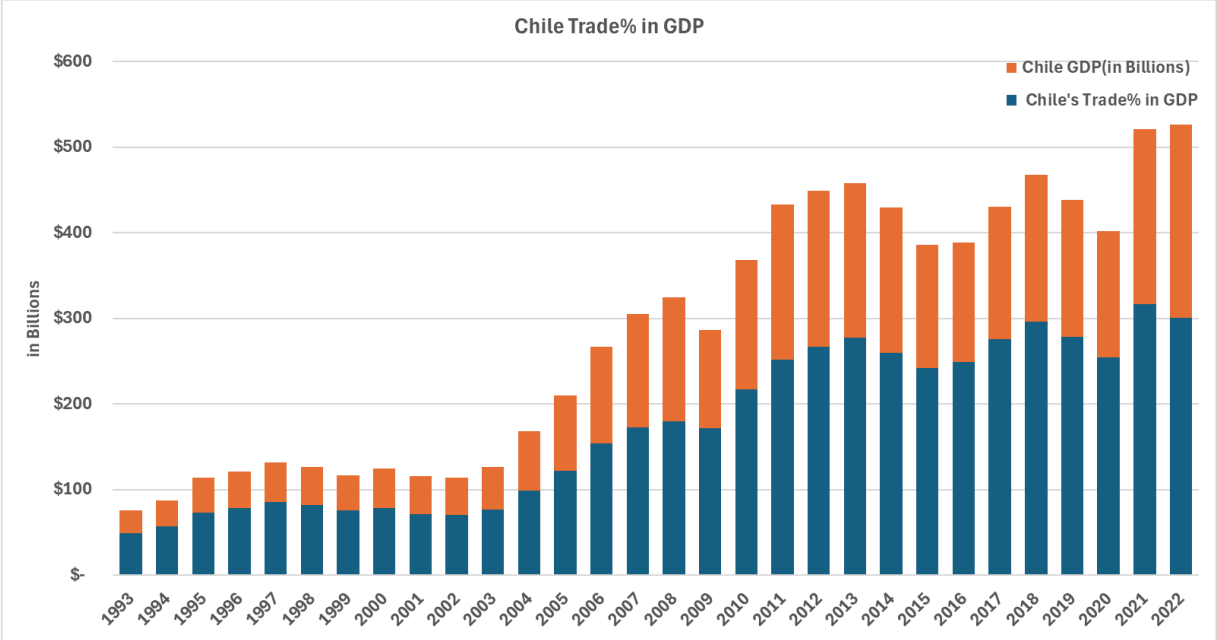
Uruguay. Despite being in the organization, they didn't have any voting rights. As a result of Chile joining the WTO in 1995 and Mercosur the following year, a small incline in the GDP was the effect as shown in Figure 1 below.

The US-Chile Free Trade Agreement (FTA) started in 2004 and was fully implemented in 2015. Also in 2004, Chile Signed an FTA with the European Free Trade Association (EFTA) which included countries like Iceland, Liechtenstein, Norway, and Switzerland. This FTA was then in the works to be updated in 2019 and fully updated on January 19, 2024. There were updates in intellectual property rights, digital trade, and trade in goods and services. The goal of these 2 FTA's were to eliminate tariffs and to open markets. The China-Chile Free Trade Agreement (FTA) went into force in 2006. The goal was to gradually eliminate tariffs on 97% of products over 10 years and to increase cooperation between the two countries in areas such as education, culture, and environmental protection. In Figure 1 below, you can see an increase in the overall GDP of Chile around 2004 and on because of these 3 FTA's.

Chile joined the Organization for Economic Co-operation and Development (OECD) as its 31st member in 2010. The OECD is a global institution dedicated to crafting improved policies for enhancing quality of life. Collaborating with governments, policymakers, and the public, the OECD sets evidence-based international benchmarks and addresses various societal, economic, and environmental issues. This includes enhancing economic growth, job creation, education quality, and combating global tax evasion. You can see the impact of joining this institution by the increase in GDP after 2010 in Figure 1 below.

Chile joined the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) in 2019 with 11 countries bordering the Pacific Ocean. The goal of this partnership was to reduce tariffs and other trade barriers. Unfortunately, around that time COVID-19 was on the rise and disrupted many countries 'GDPs. So In Figure 1 below, you will see a decline in GDP around 2019.

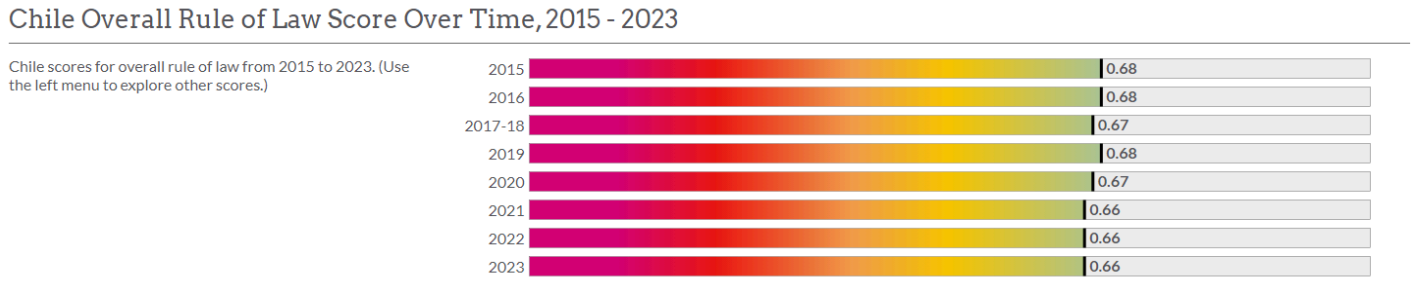
Figure 1



Chile Goverenment seems fairly stable for the most part. Their overall average for rule of law is far higher than most other Latin American countries. They have a democratic government and their elections have been fair and free. The presidents are only able to serve for 4 years and non-consecutive terms. Their previous president Piñera was recently exposed for corruption via Pandora papers. He abused his authority to favor a sale of a family property, a mine. He was impeached but he was acquitted by the senate. Current president, Boric, is a leftist who seeks for equality, further development and improvement for standard of living Chile. His main goals are for

social equality and to increase Chile's GDP with the help from their relationship with China. Previously in 2019, there were a number of protests that led to violence and looting. Curfews were placed in hopes to contain the chaos. By 2022, a new revised edit of the constitution was proposed, but was rejected by a majority of the people. A second revision is currently in progress.

Figure 2

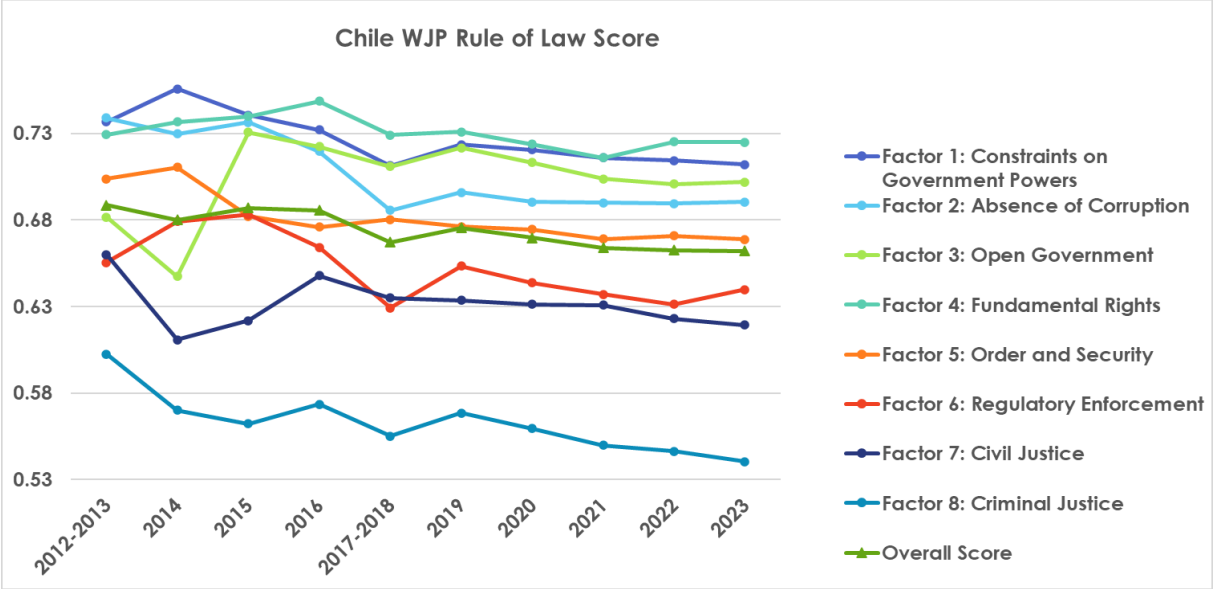


In Figure 2 above, we can see each year scores averaging at a total of 0.66 which is in the green area. This is well above the regional average which is at a low of 0.52 with global average at a close of 0.55. Chile's score would actually be even higher if it did not have their civil unrest issues in 2019, dropping their criminal justice to a low score of 0.54 while all their other factors range between 0.62 to 0.72.

Figure 3 below is the Rule of Law Score of different factors in Chile over time. It is important to note that Factor 8, Criminal Justice, is low compared to the rest of the factors. This is largely due to corruption, political influence, and/or discrimination within the judicial process. Over the years, there have been countless scandals including the president and the legal body, including President Piñera via pandora papers. Not to mention crime itself has gotten worse, murder rate going up 56% since 2018 and firearms becoming more common, especially in urban areas.

In 2014, there was an increase in Factor 3, Open Government. The reason for this is because Chile launched an Action Plan for Open Government. President/Minister Ximena Rincon declared 12 firm initiatives to various areas of institutional affairs, promoting policies of citizen participation, the fight against corruption, and citizen empowerment.

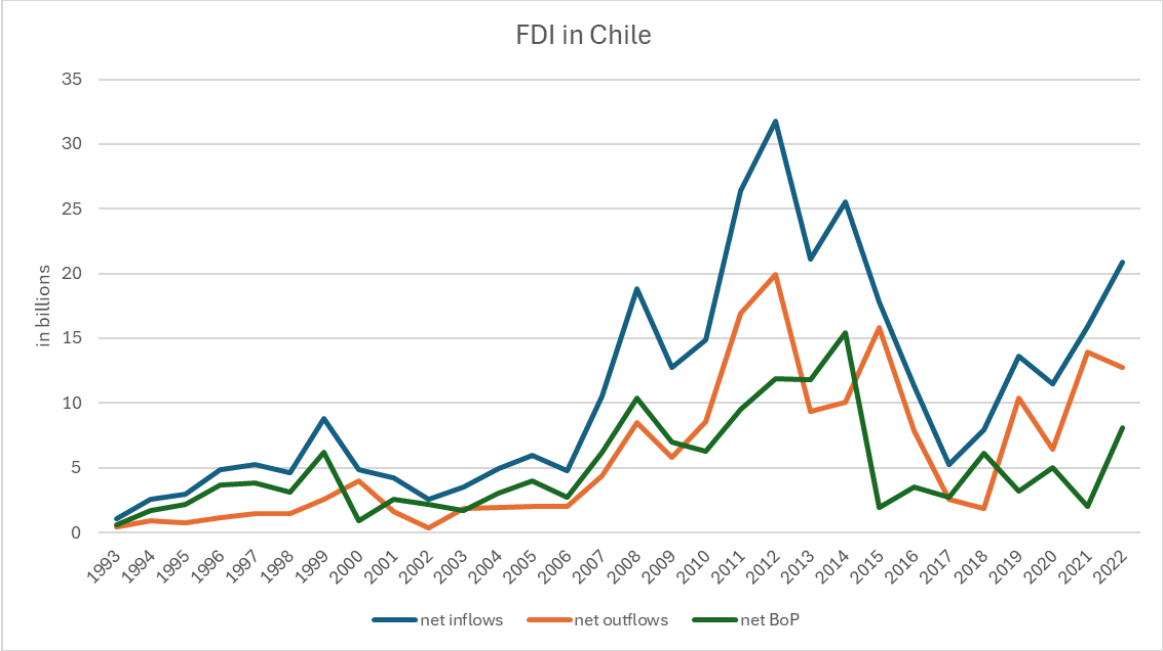
Figure 3



In 2015, the New Foreign Investment Law (NFIL) was put in place to establish a new framework for foreign investment in the country. The law created the Agency for the Promotion of Foreign Investment (APIE), also known as InvestChile, which replaced the former Foreign Investment Committee. InvestChile is the government agency responsible for facilitating the entry and retention of FDI into Chile. It provides services related to investment attraction, investment opportunities, pre-investment, landing, and after-care. Sectors that attract significant FDI include energy, mining, finance/insurance, telecommunications, wholesale trade, and chemical manufacturing. This was another reason for the increase in open government between 2014 to 2015.

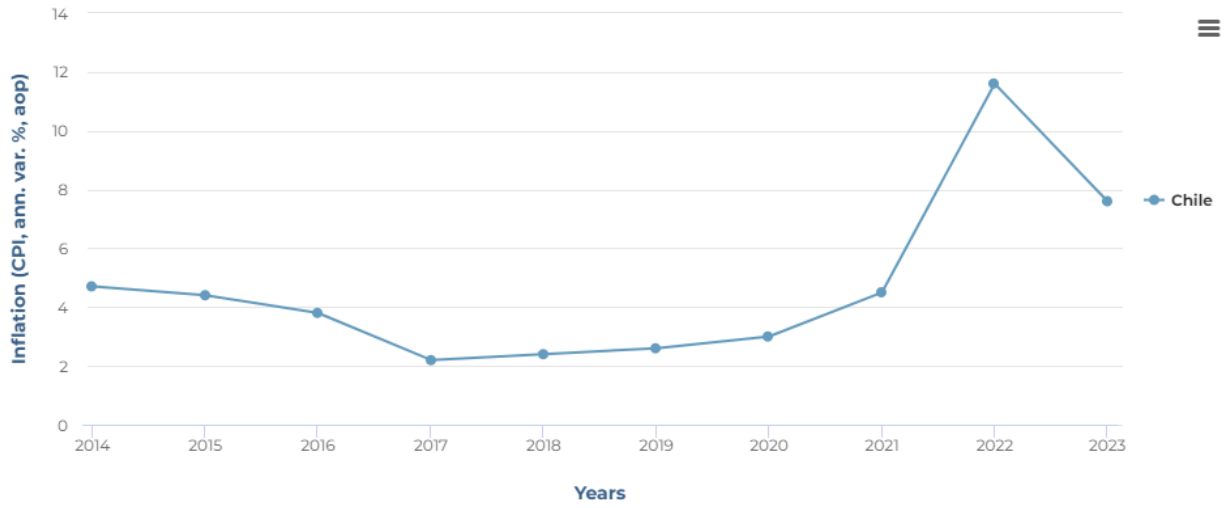
Some FDI restrictions include access to all industries allowed, except for the domestic maritime freight sector, which is limited to 49% foreign ownership. As well as Telecommunications and broadcasting sectors being restricted to Chilean legal entities only. Which makes sense because it's not the best idea to have a foreign entity having influence with your country's telecommunications.

Figure 4



This Graph shows the total FDI in terms of inflows and outflows over time. You can see that the impact of both the Action Plan in 2014 and the New Foreign Investment Law (NFIL) in 2015 are a bit delayed and take off around 2017. Also, the increase in FDI around 2006 can be due to the trading policies that took place around that time such as the U.S.-Chile Free Trade Agreement (2004), European Free Trade Association (EFTA) (2004), and China-Chile Free Trade Agreement (2006). Spain, The United States, Canada, and Japan have been among the top investors in Chile over the years.

Figure 5

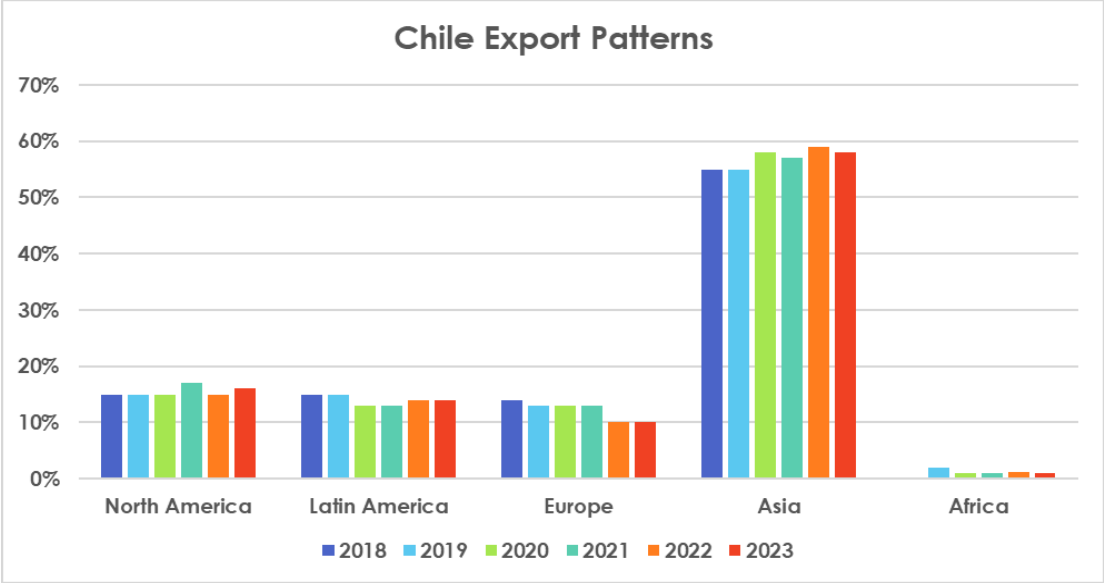


The central bank regulates Chile's government finances and inflation rate. Their targeted goal for inflation is 2-4%. Referring to Figure 2, from years to 2014 to 2017, Chile's inflation was doing well, maintaining a decreasing rate for four consecutive years. In years 2016 to 2020, they were well within their targeted percentage range. Last year's inflation was at a high of 7.6%, nearly double the targeted rate. In 2019 to 2020 a slight increase can be seen which is from the impacts of the protests from the civil unrest. Although most of the rise in inflation was from 2020 to 2022 which was a direct reflection from the COVID-19 crisis and from an increase in government expenditure to stabilize the economy. The bank implemented price controls and monetary restriction practices which helped drop the inflation from 2022 to 2023. Currently, in 2024, Chile's inflation rate is at a low of 3.18%; dropping more than half of the previous year, meaning their central banking practices are well and effective; reaching their targeted percentage once again.

Chile's Trades have been primarily the same for the past 6 years. Chile's main trading partners are China (39.4%), the United States (13.9%), Japan (7.6%), South Korea

(6.2%), and Brazil (4.6%), stats being that of 2023. Other partners include Brazil, Argentina, Germany, and Mexico. This can be seen in Figure 6. Even if the Graph is based on continents, the trades to the primary trading partners are extremely similar and stable to that of the continent. For example in 2023, China being 39.4% and the whole of Asia being 55% in Figure 6.

Figure 6



The Exports have also been the same over the years. In Figure 7, you can see the Export distribution of 2023 and in Figure 8, you can see the average of the exports from 2015 to 2022. Copper materials being 45% of total exports. Fish and meats being about 5% of exports. As well as pitted fruits and grapes being around 4.5% (Figure 8). The differences throughout the exports over the years are extremely miniscule, 1-3% being the difference for the listed exports (Figure 8), thus showing the difference of percentage over the years irrelevant. The only big difference I found was the exports on Carbonates being a whopping 8% in 2023, while the rest of the years in Figure 8, being around 1-3%.

Figure 7

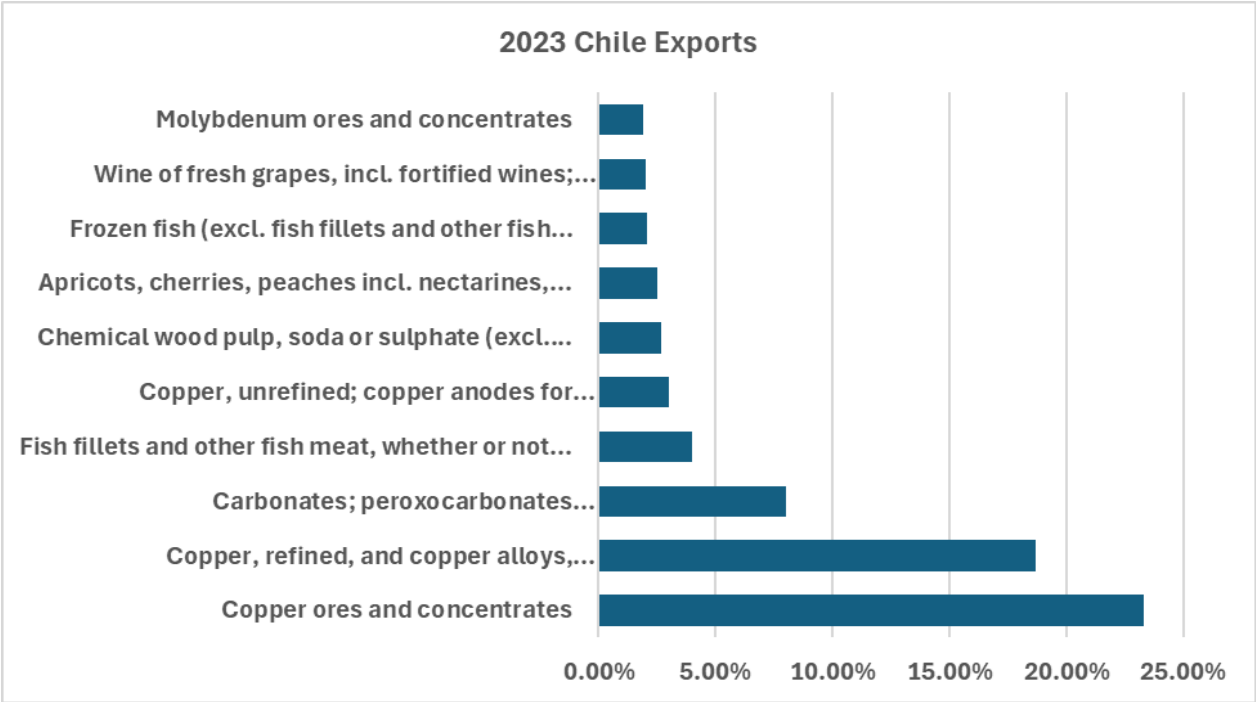


Figure 8

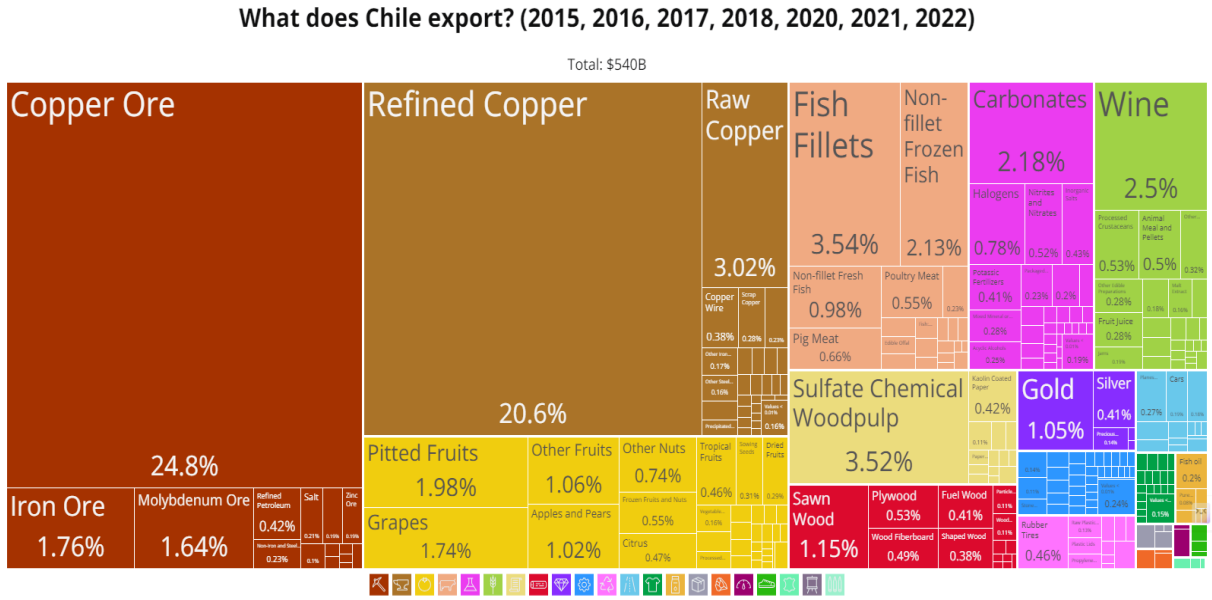


Figure 9

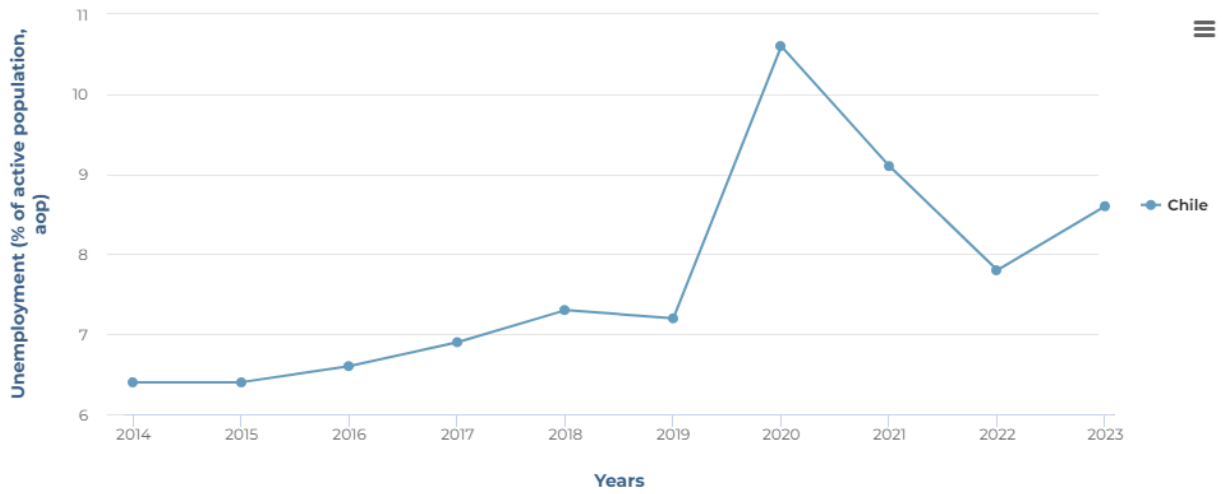
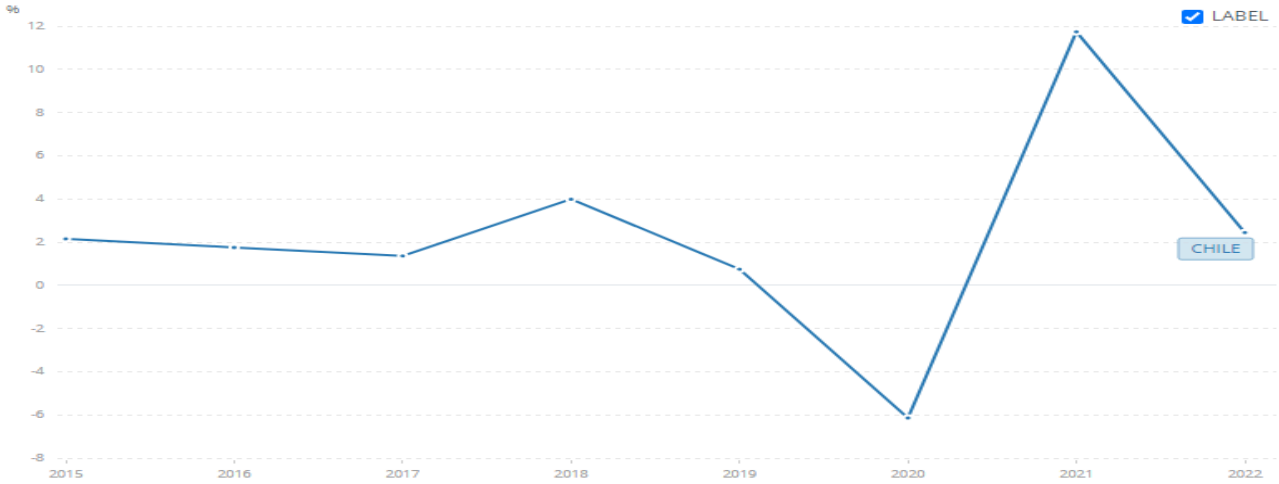


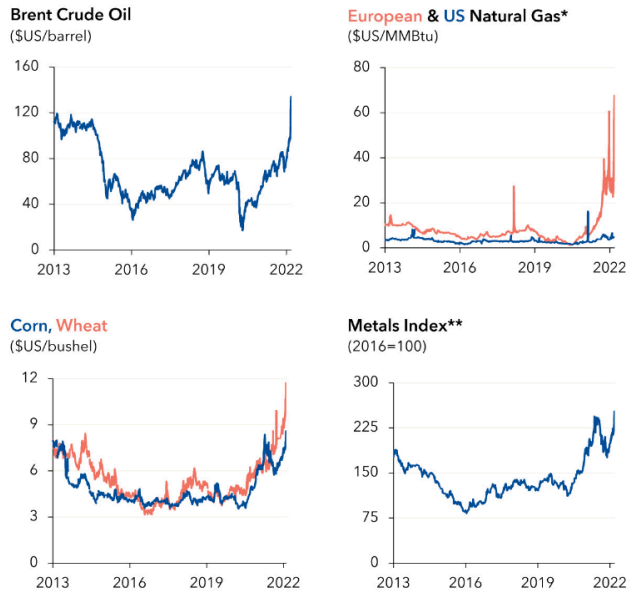
Figure 10 GDP



Overall quality of life in Chile has been at an incline due to their trade relations with china. China has been buying a lot of Chile's exported coppers, metals, and other raw materials to build their infrastructure. Chile is one of the first Latin American countries to help bring over China's influence. In 2018, Chile became part of China's Project to help expand and increase economic growth. In 2021, Chile joined the Asian Infrastructure Investment Bank. Recently current president boric took a trip to china to help strengthen their relations. He wanted to increase productivity by improving tech and education. Last year they had an estimate of $65 billion worth in trades. Overtime,

China developed a strong and dependent relation with Chile, becoming a pillar in Chile's economy. China needs Chile's copper, metals, and other raw materials, while Chile needs China's assistance in advancing infrastructure. The business ties between these two countries led to China's ease into other economic relations with the neighboring Latin American countries. Back in 2018, Chile joined one of China's major projects known as the Belt and Road Initiative. This project would allow China to expand their trade routes exponentially. It would create roads and build relationships around the glove to increase their trades and economic growth. By 2021, Chile was invited to join China's Asian Infrastructure Investment Bank, allowing them to develop and advance Chile's infrastructure. Late 2023, Current President, Boric, traveled to China attempting to reinforce their relationship with China to further develop Chile's economy to be more efficient. Chile International Economic Relations Undersecretary, Claudia Sanhueza, confirmed the talks about Chile's economic interests are to look for future investment opportunities in countries that help make Chile's economy more productive. In 2023, the two countries traded billions of raw materials. The current interests of Chile are to refine and advance their technology as well as their education system. Boric noticed that Chile's GDP is not performing as well as their previous decade and its growth is diminishing returns. One of his goals as a president is to look for solutions to this issue, especially for copper, lithium, and fruits.

Figure 11



Even though Chile doesn't have strong ties with Russia, the war between Russia and Ukraine still affects Chile in unexpected ways. For example, the cost of importing energy, crude oil, natural gas, wheat, and corn has gone up. This increase in import costs has hurt Chile's economy, leading to more spending on imports and a slight increase in prices for things like food and fuel. Because of this, the government has had to cut back on spending, which has affected many workers, especially those who work in informal jobs and rely on government support.

After further research, we realize Chile needs to tackle corruption and improve its justice system further. There have been cases of police officers unlawfully killing Indigenous people, members of the LGBTQ+ community, protestors retaliating against authorities for equality, and presidential scandals for abuse of power. This shows that there's a need for better human rights protections in Chile. Additionally, the quality of life in prisons is extremely low. 50% of prisons are operating beyond maximum capacity and

food in prisons needs to be improved, as it currently only meets the minimum nutritional requirements. These changes would not only benefit individuals but also contribute to the overall well-being of Chilean society. Additionally, Chile could invest more in research and technology. By improving technology and understanding how to process copper ores, one of their main exports, they would be able to increase export revenue, boost productivity, by selling it at a higher price as a processed good instead of raw materials.

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